in the storage of goods. He is entitled to payment for his services. He will have lien on the goods in case the payments for his services remain unpaid. The warehouse keeper delivers to the owner of the goods a receipt known as warehouse keeper's receipt or certificate. It is an acknowledgement issued by warehouse keeper for the receipt of goods by him for the purpose of storage. It is not a document of title to goods. He may issue a 'Warehouse warrant', which is a document of title to goods



### (2) Merchant Middlemen

Merchant Middlemen are the intermediaries who buy and sell the goods in their own name, and in return earn a profit out of it. They take ownership as well as possession of the goods they sell. They operate in their own name and bear all the risks. Merchant middleman can be further sub- divided into:

1. Wholesaler, 2. Retailer

1. ***Merchant Wholesalers:*** Merchant wholesalers are wholesalers who take title to the goods. They are also sometimes referred to as distributors, dealers, and jobbers. This category includes both full-service wholesalers and limited-service wholesalers. Full-service wholesalers perform a broad range of services for their customers, such as stocking inventories, operating warehouses, supplying credit to buyers, employing salespeople to assist customers, and delivering goods to customers.

a. **Limited- Service Wholesalers** offer fewer services to their customers but lower prices. They might not offer delivery services, extend their customers' credit, or have sales forces that actively call sellers. Small retailers often buy from cash-and-carry wholesalers to keep their prices as low as big retailers that get large discounts because of the huge volumes of goods they buy.

b. **Drop Shippers** are another type of limited-service wholesaler. Although drop shippers take title to the goods, they don't actually take possession of them or handle them. They deal with goods that are large or bulky. Instead, they earn a commission by finding sellers and passing their orders over to the producers, who then ship them directly to the sellers. Mail-order wholesalers sell their products using catalogs instead of sales forces and then ship the products over to buyers.

**Truck jobbers** (or truck wholesalers) actually store products, which are often highly perishable (e.g., fresh fish), on their trucks. The trucks make the rounds to customers, who inspect and select the products they want straight off the trucks.

**Rack Jobbers** sell specialty products, such as books, hosiery, and magazines that they display on their own racks in stores. Rack jobbers retain the title to the goods while the merchandise remain physically in the stores for sale. Periodically, they take count of what's been sold off their racks and then bill the stores for those items.



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